

VWAP & Volume Profile — Elite Trading Playbook

TLDR

Anchor VWAP to events (who initiated the move). Use Volume Profile to map value (where business was done). Trade only when both align with structure and liquidity. Manage risk around VWAP and value edges.

Core Mental Model (Institutional Framing)

- VWAP $\approx$ institutional cost basis
- Anchored VWAP (AVWAP) = cost basis from a specific event
- Volume Profile = acceptance (HVN), rejection (LVN), value (VAH/VAL/POC)
- Crosses/holds = P&L; shifts between participant cohorts

Anchoring Framework

Intraday

- 9:30 open, premarket high/low break, first impulse leg, VWAP reclaim, news candle
- Use Session Profile; bias aligns with AVWAP slope/hold

Swing

- Earnings gap, weekly open, daily breakout candle, prior major pivot
- Use Fixed-Range/Composite Profile for multi-day value

Trend Continuation

- Anchor at last clean pullback (HL in uptrend / LH in downtrend)
- Continuation when price reclaims/holds above that AVWAP

Mean Reversion

- Anchor at expansion candle (impulse/news spike)
- Fade when extension fails and rotates back toward AVWAP/value

A+ Setups (with Triggers)

Bullish Reclaim Stack

- Sequence: reclaim event AVWAP $\rightarrow$ reclaim session VWAP $\rightarrow$ hold above
- Trigger: pullback to stacked VWAPs + higher low

- Target: VAH / next HVN; Stop: below stacked VWAPs

Bearish Breakdown

- Sequence: lose event AVWAP → fail reclaim → VWAPs roll over
- Trigger: lower high into VWAP; continuation lower
- Target: VAL / LVN travel; Stop: above VWAP

Compression → Expansion

- Multiple VWAPs converge; tight value
- Trigger: range break with volume
- Target: LVN to LVN; Stop: back inside value

Mean Reversion Fade

- Large extension from AVWAP into LVN/low volume
- Trigger: failure to continue + back inside value
- Target: VWAP/POC; Stop: new extreme

Confluence Map (Where Orders Cluster)

- VWAP + POC / HVN / VAH-VAL
- VWAP + liquidity (equal highs/lows, prior day levels)
- VWAP + structure (break/retest of HL/LH, ranges)
- VWAP + time-of-day (open/close > midday)
- VWAP + σ bands (extremes → reversion)

Execution Checklist

- Define event → choose anchor
- Confirm VWAP direction/stack
- Overlay volume profile (identify POC/VA)
- Mark liquidity & structure
- Enter on reclaim/rejection with defined stop
- Scale at value edges; trail using VWAP/structure

Risk & Trade Management

- Risk per trade fixed (e.g., 0.5–1.0R)
- Primary stop: beyond VWAP or structure break
- First scale: POC; runner: VAH/VAL or next HVN
- No trade in low-volume chop (flat VWAPs)
- Max trades/day and daily drawdown cap

Common Mistakes

- Random anchors (no event)

- Too many VWAPs (signal dilution)
- Ignoring volume profile context
- Trading midday noise as trend